

FIRST AMENDMENT TO LEASE AGREEMENT

This FIRST AMENDMENT TO LEASE AGREEMENT (this "**Amendment**") is made and entered into as of August 25, 2014 (the "**Effective Date**"), by and between G&I VII O'CONNOR ROAD LP, a Delaware limited partnership ("**Landlord**"), and TDINDUSTRIES, INC., a Texas corporation ("**Tenant**").

BACKGROUND:

- A. On February 22, 1999, Landlord's predecessor-in-interest ("**Original Landlord**") and Tenant entered into a Lease Agreement (the "**Original Lease**") for approximately 12,486 square feet of rentable area (the "**Premises**") in the "**Building**" (herein so called) known by street address as 12700 O'Connor Road, San Antonio, Texas, being a part of the Project commonly known as O'Connor Road Business Center ("**Project**").
- B. Weingarten Realty Investors ("**Weingarten**") purchased the Project and succeeded to the interest of Original Landlord.
- C. The Original Lease was amended by that certain Renewal Letter dated January 22, 2004, and again by that certain Renewal Letter dated July 1, 2009. The Original Lease, as so amended, is hereafter referred to as the "**Lease**".
- D. Landlord purchased the Project and succeeded to the interest of Weingarten under the Lease.
- E. Landlord and Tenant desire to amend the Lease to, among other things, extend the term and expand the Premises.

AGREEMENT:

NOW, THEREFORE, in consideration of the foregoing, and for other good and valuable consideration, the receipt and sufficiency of which are acknowledged, the parties agree as follows:

- 1. **Capitalized Terms.** All capitalized terms which are not otherwise defined herein shall have the meaning set forth in the Lease, as amended hereby.
- 2. **Renewal.** The Lease Term is extended to expire on December 31, 2019 (the "**Expiration Date**").
- 3. **Base Rental.** From July 1, 2014 (the "**Effective Date**") through the Expiration Date, the monthly Base Rental payable under the Lease is as follows:

<u>Months</u>	<u>Base Rental per Square Foot</u>	<u>Monthly Base Rental</u>
07/01/2014 – 12/31/2014	\$5.65	\$5,878.83 / \$9,500.95*
01/01/2015 – 12/31/2015	\$5.80	\$9,753.18
01/01/2016 – 12/31/2016	\$5.95	\$10,005.42
01/01/2017 – 12/31/2017	\$6.10	\$10,257.66
01/01/2018 – 12/31/2018	\$6.25	\$10,509.90
01/01/2019 – 12/31/2019	\$6.40	\$10,762.13

Tenant shall continue to pay all other amounts payable under the Lease.

*Represents monthly Base Rental beginning on the Expansion Date (defined below).

4. Expansion. The Lease is amended to provide that as of the January 1, 2015 (the "**Expansion Date**"), the Premises are expanded to include the crosshatched area on **Attachment A** attached hereto (the "**Expansion Space**"), thereby enlarging the Premises by approximately 7,693 square feet of Rentable Area, that is, from approximately 12,486 square feet of Rentable Area to approximately 20,179 square feet of rentable area. Landlord and Tenant agree that as of the Expansion Date, the Premises will contain approximately 20,179 square feet of Rentable Area. Following the Expansion Date, all references to the Premises in the Lease and this Amendment shall thereafter refer to the Premises as expanded hereby, and Exhibit B-1 to the Lease is amended to include the Expansion Space as described on **Attachment A** hereto.
5. Acceptance of Expansion Space. Tenant's occupancy of the Expansion Space is conclusive evidence that Tenant: (A) accepts the Expansion Space as suitable for the purposes for which it is leased; (B) accepts the Expansion Space and the Project as being in a good and satisfactory condition; (C) waives any defects in the Expansion Space and the Project; and (D) agrees that the Rentable Area square feet numbers specified in Paragraph 4 of this Amendment are binding and conclusive for all purposes under the Lease.
6. Tenant's Inspection Right. Notwithstanding anything in this Amendment to the contrary, upon the full execution of this Amendment and at Tenant's sole cost and expense, Landlord grants Tenant and its authorized representatives a continuing right to inspect the HVAC and mechanical systems exclusively serving the Expansion Space. At least three (3) business days prior to the day Tenant desired to enter the Expansion Space for any such inspections, Tenant shall notify Landlord and shall coordinate Tenant's entry with Landlord. Tenant shall restore, at its sole cost and expense, any and all items or systems moved, removed or affected in any way by Tenant's inspections immediately upon completion of said inspections or otherwise upon demand by Landlord.

TENANT SHALL AND DOES HEREBY RELEASE, INDEMNIFY AND HOLD LANDLORD HARMLESS, AND TENANT SHALL DEFEND LANDLORD (WITH COUNSEL ACCEPTABLE TO LANDLORD) FROM AND AGAINST ANY AND ALL LIABILITIES, CLAIMS, DEMANDS, ACTIONS, DAMAGES, COSTS AND EXPENSES (INCLUDING, WITHOUT LIMITATION, REASONABLE ATTORNEYS' FEES AND COURT COSTS) INCIDENT TO, RESULTING FROM OR IN ANY WAY ARISING OUT OF ANY SUCH INSPECTION OR ANALYSIS OR ANY ENTRY BY OR ON BEHALF OF TENANT ON THE EXPANSION SPACE, **INCLUDING, WITHOUT LIMITATION, ANY**

OF SUCH MATTERS CAUSED BY THE CONCURRENT NEGLIGENCE OF LANDLORD, BUT NOT SUCH MATTERS CAUSED BY LANDLORD'S SOLE OR GROSS NEGLIGENCE OR WILLFUL MISCONDUCT.

7. Tenant's Pro Rata Share. As of the Effective Date, Tenant's Pro Rata Share is 8.46%. Following the Expansion Date, Tenant's Pro Rata Share will be 13.44%.
8. Acceptance of Premises. Tenant accepts the Premises (and, following the Expansion Date, the Expansion Space) in their "**AS-IS**" condition and Landlord shall have no obligation to improve, repair, restore or refurbish the Premises except as otherwise specifically provided in this Amendment. Tenant acknowledges that neither Landlord nor any agent of Landlord has made any representation or warranty, except as otherwise expressly provided in this Amendment, with respect to the Premises or any other portion of the Project including, without limitation, any representation or warranty with respect to the suitability or fitness of the Premises or any other portion of the Project for the conduct of Tenant's business.
9. Finish-Out of Premises. Landlord agrees to provide Tenant with a finish-out allowance of \$1.50 per square foot in the entire Premises (including the Expansion Space) (\$30,268.50) for hard costs incurred in connection with renovations to the Premises (including the Expansion Space). The work will be performed and the allowance applied in accordance with **Attachment B** attached to this Amendment.
10. Tenant's Renewal Option. Landlord and Tenant agree that Tenant has already exercised each of its renewal options contained in that certain Renewal Option in Exhibit H to the Lease. As such, Exhibit H to the Lease is deleted and is of no further effect. Landlord grants to Tenant the renewal option set forth on **Attachment D** attached to this Amendment.
11. Tenant's Right of First Refusal. Tenant's One Time First Right of Refusal, attached as Exhibit B-1 to the Lease, is hereby deleted and is of no further effect.
12. Indemnity. Paragraph 18 of the Lease is deleted and the following substituted therefor:
 18. Indemnity. Tenant agrees to indemnify and hold Landlord, Landlord's agents and Landlord's employees harmless from all losses, claims, suits, actions, damages, and liability (including reasonable attorneys' fees and other costs and expenses of defending against all of the aforesaid) arising (or alleged to arise) from any act or omission of Tenant or Tenant's agents, employees, assignees, sublessees, contractors, customers or invitees, or arising from any injury to or death of any person or persons or damage to or destruction of the property of any person or persons occurring in or about the Premises or on the sidewalks adjacent thereto, and Tenant assumes responsibility for the condition of the Premises and agrees to give Landlord written notice in the event of any damage, defect or disrepair therein. **The indemnity set forth in this Paragraph 18 is intended to indemnify Landlord, its agents and employees against the consequences of their own negligence or fault, even when Landlord or its agents are jointly, comparatively, contributively, or concurrently negligent with Tenant, and even though any such claim, cause of action or suit is based upon or alleged to be based upon the strict liability of Landlord, its agents or employees; however,**

such indemnity shall not apply to the sole or gross negligence or willful misconduct of Landlord, its agents or employees.

13. Insurance. Paragraphs 15, 16 and 17 of the Lease are hereby deleted. The following is substituted for Paragraph 15 of the Lease:

15. Insurance.

(a) Throughout the Lease Term, Tenant shall maintain the following insurance policies: (A) commercial general liability insurance in amounts of \$1,000,000 per occurrence and \$2,000,000 general aggregate or, following the expiration of the initial Term, such other amounts as Landlord may from time to time reasonably require, with an Excess Limits (Umbrella) Policy in the amount of \$5,000,000 (and, if the use and occupancy of the Premises include any activity or matter that is or may be excluded from coverage under a commercial general liability policy [e.g., the sale, service or consumption of alcoholic beverages], Tenant shall obtain such endorsements to the commercial general liability policy or otherwise obtain insurance to insure all liability arising from such activity or matter in such amounts as Landlord may reasonably require), insuring Tenant, Landlord, Landlord's property management company, Landlord's asset management company and, if requested in writing by Landlord, Landlord's mortgagee against all liability for injury to or death of a person or persons or damage to property arising from the use and occupancy of the Premises and (without implying any consent by Landlord to the installation thereof) the installation, operation, maintenance, repair or removal of any equipment of Tenant located in the Project, other than the Premises, (B) insurance covering the full value of all alterations and improvements and betterments in the Premises, naming Landlord and Landlord's mortgagee as additional loss payees as their interests may appear, (C) insurance covering the full value of all furniture, trade fixtures and personal property (including property of Tenant or others) in the Premises or otherwise placed in the Project by or on behalf of Tenant, any assignees or subtenants claiming by, through, or under Tenant; and any of their respective agents, contractors, employees, licensees, guests and invitees (a "**Tenant Party**"), (D) contractual liability insurance sufficient to cover Tenant's indemnity obligations hereunder (but only if such contractual liability insurance is not already included in Tenant's commercial general liability insurance policy), (E) worker's compensation insurance, and (F) business interruption insurance in an amount reasonably acceptable to Landlord. The commercial general liability insurance to be maintained by Tenant may have a deductible of no more than \$5,000 per occurrence; the property insurance to be maintained by Tenant may have a deductible of no more than \$10,000 per occurrence; and, all other insurance to be maintained by Tenant shall have no deductible, as detailed further below:

<u>Insurance Coverage</u>	<u>Policy Limit(s)</u>
Workers' Compensation	Must insure against and/or satisfy Tenant's obligations and liabilities under the workers' compensation laws of the state where the Premises is located

Employer's Liability	Injury by accident or disease: \$1,000,000
Commercial general liability, with no deductible or self-insured retention limits	Each Occurrence: \$1,000,000 General Aggregate: \$2,000,000 Products-Completed Operations: \$2,000,000
Business auto liability, with no deductible or self-insured retention limits	Per accident/aggregate: \$1,000,000
Umbrella/excess liability insurance	Each occurrence/aggregate: \$5,000,000
Commercial property	100% of replacement cost of Tenant's business personal property and leasehold improvements

(b) Tenant's insurance shall provide primary coverage to Landlord when any policy issued to Landlord provides duplicate or similar coverage, and in such circumstance Landlord's policy will be excess over Tenant's policy. Tenant shall furnish to Landlord certificates of such insurance and such other evidence satisfactory to Landlord of the maintenance of all insurance coverages required hereunder at least ten days prior to the earlier of the Commencement Date or the date Tenant enters or occupies the Premises, and at least 15 days prior to each renewal of said insurance, and Tenant shall obtain a written obligation on the part of each insurance company to notify Landlord at least 30 days before cancellation or a material change of any such insurance policies. All such insurance policies shall be in form, and issued by companies with a Best's rating of A+:VII or better, reasonably satisfactory to Landlord. If, in the opinion of Landlord's insurance advisor, the amount or scope of such coverage is deemed inadequate at any time during the Lease Term, Tenant shall increase such coverage to such reasonable amounts or scope as Landlord's insurance advisor deems adequate. If Tenant fails to comply with the foregoing insurance requirements or to deliver to Landlord the certificates or evidence of coverage required herein, Landlord, in addition to any other remedy available pursuant to the Lease or otherwise, may, but shall not be obligated to, obtain such insurance and Tenant shall pay to Landlord on demand the premium costs thereof, plus an administrative fee of 15% of such cost.

(c) In the event that either Landlord or Tenant sustains a loss by reason of fire or other casualty which is covered (or could have been covered) by special cause of loss insurance policy or other insurance policy or rider thereto, and such fire or casualty is caused in whole or in part by acts or omissions of the other party, its agents, servants or employees, then the party sustaining such loss agrees to look solely to its insurance proceeds, if any, (or the amount which would have been paid had the insurance required to be maintained hereunder been in full force and effect); and such party shall have no claim or right of recovery against the other party to the Lease, or its agents, servants or employees (and waives any such claim); and no third party shall have any claim or right of recovery by way of subrogation or assignment or otherwise regardless of whether the

negligence of any party caused such loss in whole or in part. Such insurance policy shall contain a loss payable clause designating Tenant and Landlord as loss payees as their respective interests may appear. Tenant shall be responsible for the safety and personal well-being of Tenant's employees, both within the Premises and in the Common Areas.

14. Hazardous Substances. Paragraph 22 of the Lease is deleted and the following substituted therefor:

22. Hazardous Substances.

a. Except for Hazardous Substances contained in products used by Tenant in de minimis quantities for ordinary cleaning and office purposes, Tenant shall not permit or cause any party to bring any Hazardous Substances upon the Premises or in the Project or transport, store, use, generate, manufacture, dispose, or release any Hazardous Substances on or from the Premises or the Project without Landlord's prior written consent. Tenant, at its sole cost and expense, shall operate its business in the Premises in strict compliance with all Environmental Requirements and all requirements of the Lease. Tenant shall complete and certify to disclosure statements as requested by Landlord from time to time relating to Tenant's transportation, storage, use, generation, manufacture, or release of Hazardous Substances on the Premises or in the Project, and Tenant shall promptly deliver to Landlord a copy of any notice of violation relating to the Premises or the Project of any Environmental Requirement.

b. The term "**Environmental Requirements**" means all laws regulating or relating to health, safety, or environmental conditions on, under, or about the Premises or the Project or the environment including the following: the Comprehensive Environmental Response, Compensation and Liability Act; the Resource Conservation and Recovery Act; the Clean Air Act; the Clean Water Act; the Toxic Substances Control Act and all state and local counterparts thereto, and any common or civil law obligations including nuisance or trespass. The term "**Hazardous Substances**" means and includes any substance, material, waste, pollutant, or contaminant that is or could be regulated under any Environmental Requirement or that may adversely affect human health or the environment, including any solid or hazardous waste, hazardous substance, asbestos, petroleum (including crude oil or any fraction thereof, natural gas, synthetic gas, polychlorinated biphenyls (PCBs), and radioactive material). For purposes of Environmental Requirements, to the extent authorized by law, Tenant is and shall be deemed to be the responsible party, including the "**owner**" and "**operator**" of Tenant's "**facility**" and the "**owner**" of all Hazardous Substances brought on the Premises or the Project by a Tenant Party and the wastes, by-products, or residues generated, resulting, or produced therefrom.

c. Tenant, at its sole cost and expense, shall remove all Hazardous Substances stored, disposed of or otherwise released by a Tenant Party onto or from the Premises or the Project, in a manner and to a level satisfactory to Landlord in its sole discretion, but in no event to a level and in a manner less than that which complies with all Environmental Requirements and does not limit any future uses of the Premises or the Project or require the recording of any deed restriction or notice regarding the Premises or the Project. Tenant shall perform such work at any time during the period of the Lease upon written request by Landlord or, in the absence of a specific request by

Landlord, before Tenant's right to possession of the Premises terminates or expires. If Tenant fails to perform such work within the time period specified by Landlord or before Tenant's right to possession terminates or expires (whichever is earlier), Landlord may at its discretion, and without waiving any other remedy available under the Lease or at law or equity (including an action to compel Tenant to perform such work), perform such work at Tenant's cost. Tenant shall pay all costs incurred by Landlord in performing such work within ten days after Landlord's request therefor. Such work performed by Landlord is on behalf of Tenant and Tenant remains the owner, generator, operator, transporter, and/or arranger of the Hazardous Substances for purposes of Environmental Requirements. Tenant agrees not to enter into any agreement with any person, including any governmental authority, regarding the removal of Hazardous Substances that have been disposed of or otherwise released onto or from the Premises or the Project without the written approval of the Landlord.

d. Tenant shall indemnify, defend, and hold Landlord harmless from and against any and all losses (including diminution in value of the Premises or the Project and loss of rental income from the Project), liabilities (INCLUDING ANY STRICT LIABILITY), claims, demands, actions, suits, damages (including punitive damages), expenses (including remediation, removal, repair, corrective action, or cleanup expenses), and costs (including actual attorneys' fees, consultant fees or expert fees and including removal or management of any asbestos brought into the Premises or the Project or disturbed in breach of the requirements of this Paragraph 22, regardless of whether such removal or management is required by law which are brought or recoverable against, or suffered or incurred by Landlord as a result of any release of Hazardous Substances or any breach of the requirements under this Paragraph 22 by a Tenant Party regardless of whether Tenant had knowledge of such noncompliance. The obligations of Tenant under this Paragraph 22 shall survive any expiration or termination of the Lease.

e. Landlord shall have access to, and a right to perform inspections and tests of, the Premises to determine Tenant's compliance with Environmental Requirements, its obligations under this Paragraph 22, or the environmental condition of the Premises. Access shall be granted to Landlord upon Landlord's prior notice to Tenant and at such times so as to minimize, so far as may be reasonable under the circumstances, any disturbance to Tenant's operations. Such inspections and tests shall be conducted at Landlord's expense, unless such inspections or tests reveal that Tenant has not complied with any Environmental Requirement, in which case Tenant shall reimburse Landlord for the reasonable cost of such inspection and tests. Landlord's receipt of or satisfaction with any environmental assessment in no way waives any rights that Landlord holds against Tenant. Tenant shall promptly notify Landlord of any communication or report that Tenant makes to any governmental authority regarding any possible violation of Environmental Requirements or release or threat of release of any Hazardous Substances onto or from the Premises or the Project. Tenant shall, within five days of receipt thereof, provide Landlord with a copy of any documents or correspondence received from any governmental agency or other party relating to a possible violation of Environmental Requirements or claim or liability associated with the release or threat of release of any Hazardous Substances onto or from the Premises or the Project.

f. In addition to all other rights and remedies available to Landlord under the Lease or otherwise, Landlord may, in the event of a breach of the requirements of this

Paragraph 22 that is not cured within 30 days following notice of such breach by Landlord, require Tenant to provide financial assurance (such as insurance, escrow of funds or third party guarantee) in an amount and form satisfactory to Landlord. The requirements of this Paragraph 22 are in addition to and not in lieu of any other provision in the Lease.

15. Move-Out. The following is added as Paragraph 50 to the Lease:

Tenant will not commit waste but will maintain the Premises in a clean, attractive condition and in good repair, and shall also keep adjacent sidewalks clean. Upon termination of the Lease, Tenant will surrender the Premises to Landlord broom-clean, in good repair and condition, free of Hazardous Substances placed on the Premises during the Term, reasonable wear and tear and damage by casualty excepted, and shall deliver to Landlord all keys to the Premises. Without limiting the generality of the foregoing sentence, Tenant shall be responsible, prior to termination or expiration of the Lease Term, to perform, to Landlord's satisfaction, each and every repair and maintenance item listed on **Attachment C** attached hereto and incorporated herein (the "**Tenant Move-Out Responsibilities**"). At least thirty (30) days, but not more than sixty (60) days, prior to the termination or expiration of the Lease Term, Tenant shall schedule a meeting with Landlord at the Premises to review the status of the Tenant Move-Out Responsibilities (the "**Move-Out Meeting**"), which Move-Out Meeting shall occur no later than fifteen (15) days prior to the termination or expiration date. At the Move-Out Meeting, the parties shall identify those items of the Tenant Move-Out Responsibilities which have been completed and those that have not been completed. If certain items have not been completed, Landlord and Tenant shall schedule a subsequent, final walk-through of the Premises prior to the termination or expiration date so that Landlord may confirm that Tenant has completed all of the Tenant Move-Out Responsibilities. If Tenant fails or refuses to complete all of the Tenant Move-Out Responsibilities, to Landlord's satisfaction, prior to the termination or expiration date of the Lease, then Landlord may (but shall not be obligated to) complete all remaining Tenant Move-Out Responsibilities. Tenant shall reimburse Landlord, upon demand, for all costs and expenses incurred by Landlord to complete any unfinished, incomplete Tenant Move-Out Responsibilities ("**Landlord Move-Out Costs**") plus an administrative fee payable to Landlord equal to fifteen percent (15%) of the total Landlord Move-Out Costs. Failure of Tenant to perform any of its obligations under this section including, but not limited to, its failure to perform the Tenant Move-Out Responsibilities to Landlord's satisfaction, within the time period required in this section, shall constitute an Event of Default under the Lease and shall entitle Landlord, in addition to all other recourses and remedies provided in the Lease, to deduct from any security deposit held by Landlord under the Lease an amount equal to the Landlord Move-Out Costs plus the fifteen percent (15%) administrative fee described above. Landlord may promulgate rules and regulations which provide the details of the foregoing requirements.

16. Address for Landlord. As of the date of this Amendment, all notices to be provided to Landlord under this Amendment shall be sent to the following addresses:

c/o Stream Realty Partners – Central Texas L.P.
1100 N.W. Loop 410, Suite 750
San Antonio, Texas 78213

with copy to:

c/o DRA Advisors LLC
220 East 42nd Street (27th Floor)
New York, New York 10017
Attn: Asset Management

17. OFAC. Tenant represents and warrants to Landlord that Tenant is currently in compliance with, and Tenant further covenants to Landlord that Tenant shall at all times during the Lease Term (including any extension thereof) remain in compliance with, the regulations of the Office of Foreign Assets Control ("**OFAC**") of the U.S. Department of Treasury (including those named on OFAC's Specially Designated Nationals and Blocked Persons List) and any statute, executive order (including, but not limited to, Executive Order 13224, dated September 24, 2001 and entitled "Blocking Property and Prohibiting Transactions with Persons Who Commit, Threaten to Commit, or Support Terrorism"), or other governmental, regulatory, or administrative action relating thereto.
18. Brokerage. Neither Landlord nor Tenant has dealt with any broker or agent in connection with the negotiation or execution of this Amendment, other than Stream Realty Partners – Central Texas ("**Broker**"), whose commission shall be paid by Landlord pursuant to a separate written agreement. Tenant and Landlord shall each indemnify, defend and hold harmless the other against all costs, expenses, attorneys' fees, liens and other liability for commissions or other compensation claimed by any broker or agent claiming the same by, through, or under the indemnifying party.
19. WAIVER OF JURY TRIAL. TO THE MAXIMUM EXTENT PERMITTED BY LAW, LANDLORD AND TENANT EACH WAIVE ANY RIGHT TO TRIAL BY JURY IN ANY LITIGATION OR TO HAVE A JURY PARTICIPATE IN RESOLVING ANY DISPUTE ARISING OUT OF OR WITH RESPECT TO THE LEASE OR ANY OTHER INSTRUMENT, DOCUMENT OR AGREEMENT EXECUTED OR DELIVERED IN CONNECTION HERewith OR THE TRANSACTIONS RELATED HERETO.
20. Governing Law. The Lease shall be governed by and construed in accordance with the laws of the state in which the Premises are located.
21. Recordation of Lease. Tenant shall not record the Lease or any memorandum of the Lease without the prior written consent of Landlord, which consent may be withheld or denied in the sole and absolute discretion of Landlord, and any recordation by Tenant shall be a material breach of the Lease. Tenant grants to Landlord a power of attorney to execute and record a release releasing any such recorded instrument of record that was recorded without the prior written consent of Landlord.
22. Calculation of Charges. Landlord and Tenant agree that each provision of the Lease for determining charges and amounts payable by Tenant (including provisions regarding Operating Expenses Rental) is commercially reasonable and, as to each such charge or amount, constitutes a statement of the amount of the charge or a method by which the charge is to be computed for purposes of Section 93.012 of the Texas Property Code.
23. No Waiver. Neither acceptance of rent (or any portion thereof) or any other sums payable by Landlord or Tenant hereunder (or any portion thereof) by Landlord or Tenant

nor failure by Landlord or Tenant to complain of any action, non-action or default of the other shall constitute a waiver as to any breach of any covenant or condition of Tenant contained herein nor a waiver of the rights of any party hereunder. Waiver of any default shall not constitute a waiver of any prior or subsequent default under the Lease. No right, remedy, covenant, duty or obligation hereunder shall be deemed waived unless such waiver be in writing.

24. No Offsets. Tenant hereby represents to Landlord that to the best of Tenant's knowledge, as of the date of this Amendment, Tenant has no defenses to or offsets against the full and timely payment and performance of each and every covenant and obligation required to be performed by Tenant under the terms of the Lease.
25. Conflicts. The terms of this Amendment prevail if there is a conflict with the terms of the Lease.
26. Headings. The headings or captions of the paragraphs in this Amendment are for convenience only and shall not act and shall not be implied to act to limit or expand the construction and intent of the contents of the respective paragraph.
27. Binding Effect. This Amendment is binding upon and shall inure to the benefit of the parties and their respective successors and assigns (but this reference to assigns shall not be deemed to act as a consent to an assignment by Tenant).
28. Ratification. The Lease, as amended and modified hereby, is ratified and confirmed by the parties as being in full force and effect.

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EXECUTED as of the date first above written.

LANDLORD:

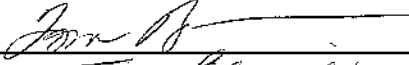
G&I VII O'CONNOR ROAD LP,
a Delaware limited partnership

By: G&I VII Ranger GP LLC, a Delaware limited
liability company, its general partner

By: 
Name: Jean Marie Apruzzese
Title: Vice President

TENANT:

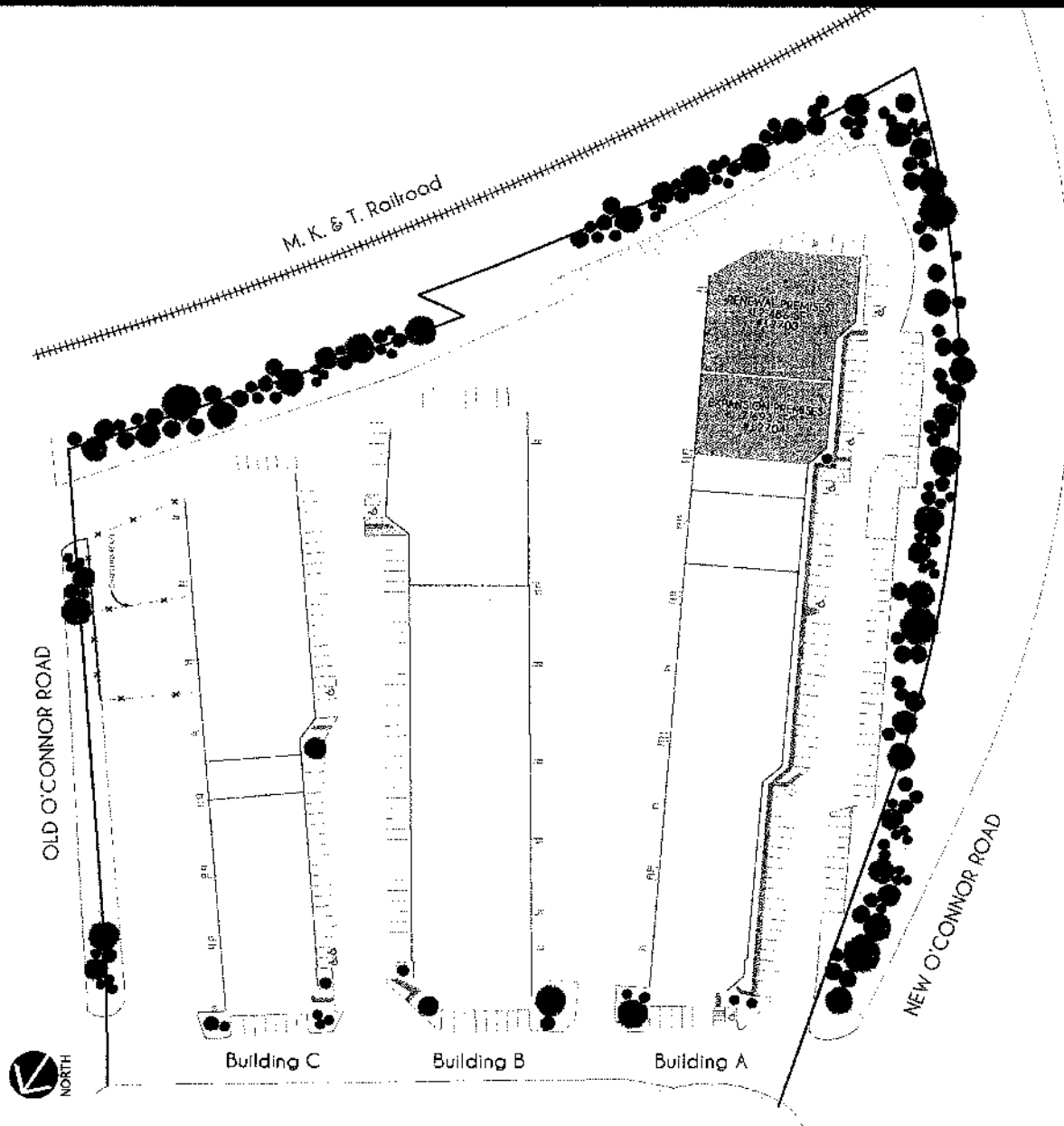
TD INDUSTRIES, INC.,
a Texas corporation

By: 
Name: Tom Barrick
Title: SE VP

ATTACHMENT A
EXPANSION SPACE

O'Connor Road Business Park

12700-12790 O'CONNOR RD. | SAN ANTONIO, TX 78233



Professionally Leased
& Managed by

**STREAM
REALTY**

ATTACHMENT B

TENANT FINISH-WORK (Tenant Performs the Work)

1. **Acceptance of Premises.** Except as set forth in this **Attachment B**, Tenant accepts the Premises in their "**AS-IS**" condition on the date that this Amendment is entered into.

2. **Space Plans.**

(a) **Preparation and Delivery.** On or before the earlier of (1) _____, 20__, or (2) the tenth day following the date of this Amendment (such earlier date is referred to herein as the "**Space Plans Delivery Deadline**"), Tenant shall deliver to Landlord a space plan prepared by _____ or another design consultant reasonably acceptable to Landlord (the "**Architect**") depicting improvements to be installed in the Premises (the "**Space Plans**").

(b) **Approval Process.** Landlord shall notify Tenant whether it approves of the submitted Space Plans within five business days after Tenant's submission thereof. If Landlord disapproves of such Space Plans, then Landlord shall notify Tenant thereof specifying in reasonable detail the reasons for such disapproval, in which case Tenant shall, within three business days after such notice, revise such Space Plans in accordance with Landlord's objections and submit to Landlord for its review and approval. Landlord shall notify Tenant in writing whether it approves of the resubmitted Space Plans within three business days after its receipt thereof. This process shall be repeated until the Space Plans have been finally approved by Landlord and Tenant. If Landlord fails to notify Tenant that it disapproves of the initial Space Plans within five business days (or, in the case of resubmitted Space Plans, within three business days) after the submission thereof, then Landlord shall be deemed to have approved the Space Plans in question.

3. **Working Drawings.**

(a) **Preparation and Delivery.** On or before the earlier of (1) _____, 20__, or (2) the tenth day following the date on which the Space Plans are approved (or deemed approved) by Landlord and Tenant (such earlier date is referred to herein as the "**Working Drawings Delivery Deadline**"), Tenant shall provide to Landlord for its approval final working drawings, prepared by the Architect, of all improvements that Tenant proposes to install in the Premises; such working drawings shall include the partition layout, ceiling plan, electrical outlets and switches, telephone outlets, drawings for any modifications to the mechanical and plumbing systems of the Building, and detailed plans and specifications for the construction of the improvements called for under this **Attachment B** in accordance with all applicable laws.

(b) **Approval Process.** Landlord shall notify Tenant whether it approves of the submitted working drawings within ten business days after Tenant's submission thereof. If Landlord disapproves of such working drawings, then Landlord shall notify Tenant thereof specifying in reasonable detail the reasons for such disapproval, in which case Tenant shall, within three business days after such notice, revise such working drawings in accordance with Landlord's objections and submit the revised working drawings to Landlord for its review and

approval. Landlord shall notify Tenant in writing whether it approves of the resubmitted working drawings within five business days after its receipt thereof. This process shall be repeated until the working drawings have been finally approved by Tenant and Landlord. If Landlord fails to notify Tenant that it disapproves of the initial working drawings within ten business days (or, in the case of resubmitted working drawings, within five business days) after the submission thereof, then Landlord shall be deemed to have approved the working drawings in question.

(c) **Landlord's Approval; Performance of Work.** If any of Tenant's proposed construction work will affect the Building's Structure or the Building's Systems, then the working drawings pertaining thereto must be approved by the Building's engineer of record. Landlord's approval of such working drawings shall not be unreasonably withheld, provided that (1) they comply with all laws, (2) the improvements depicted thereon do not adversely affect (in the reasonable discretion of Landlord) the Building's Structure or the Building's Systems (including the Building's restrooms or mechanical rooms), the exterior appearance of the Building, or the appearance of the Building's common areas or elevator lobby areas, (3) such working drawings are sufficiently detailed to allow construction of the improvements in a good and workmanlike manner, and (4) the improvements depicted thereon conform to the rules and regulations promulgated from time to time by Landlord for the construction of tenant improvements (a copy of which has been delivered to Tenant). As used herein, "**Working Drawings**" means the final working drawings approved by Landlord, as amended from time to time by any approved changes thereto, and "**Work**" means all improvements to be constructed in accordance with and as indicated on the Working Drawings, together with any work required by governmental authorities to be made to other areas of the Building as a result of the improvements indicated by the Working Drawings. Landlord's approval of the Working Drawings shall not be a representation or warranty of Landlord that such drawings are adequate for any use or comply with any law, but shall merely be the consent of Landlord thereto. Tenant shall, at Landlord's request, sign the Working Drawings to evidence its review and approval thereof. After the Working Drawings have been approved, Tenant shall cause the Work to be performed in accordance with the Working Drawings.

4. **Contractors; Performance of Work.** The Work shall be performed only by licensed contractors and subcontractors approved in writing by Landlord, which approval shall not be unreasonably withheld. Tenant hereby represents to Landlord that it is a contractor duly licensed under the applicable laws of the state of Texas, and Landlord, relying on said representation, hereby approves Tenant to perform the Work as general contractor. Tenant shall, as general contractor, (1) provide a separate written warranty for all defective Work for one (1) year following completion of the Work; (2) maintain general commercial liability insurance of not less than a combined single limit of \$5,000,000, naming Landlord, Landlord's property management company, Landlord's asset management company, Landlord's Mortgagee and each of their and Tenant's respective Affiliates as additional insureds; (3) perform the Work in substantial accordance with the Space Plans and the Working Drawings and in a good and workmanlike manner; (4) be responsible for daily cleanup work and final clean up (including removal of debris); (5) perform the Work in such a manner and at such times as and not to interfere with or delay Landlord's other contractors, the operation of the Building, and the occupancy thereof by other tenants; (6) contract Landlord and schedule time periods during which it may use the Building facilities in connection with the Work (e.g., elevators, excess electricity, etc...) and (7) enter into subcontracts (if any) in accordance with the requirements of Section 5 below.

5. **Subcontracts.** Unless otherwise agreed in writing by Landlord and Tenant,

each of Tenant's construction subcontracts (if any) shall: (1) provide a schedule and sequence of construction activities and completion reasonably acceptable to Landlord, (2) be in a contract form that approved by Landlord, (3) require the subcontractor to name Landlord, Landlord's property management company, Landlord's asset management company, and Tenant as additional insured on such contractor's insurance maintained in connection with the construction of the Work, (4) be assignable following an Event of Default by Tenant under the Lease to Landlord and Landlord's Mortgagees, and (5) contain at least a one-year warranty for all workmanship and materials.

6. **Tenant's Indemnity.**

(a) TO THE FULLEST EXTENT PERMITTED BY LAW, AND EXCEPT AS SET OUT IN SECTION 6(a) BELOW, TENANT SHALL INDEMNIFY, DEFEND AND HOLD HARMLESS LANDLORD, AND ALL OF ITS OWNERS, OFFICERS, DIRECTORS, AFFILIATES, AGENTS AND EMPLOYEES (THE "**INDEMNITEES**") FROM AND AGAINST ALL CLAIMS, DAMAGES, LOSSES AND EXPENSES, INCLUDING, BUT NOT LIMITED TO, LEGAL FEES, ARISING OUT OF OR RESULTING FROM, WHETHER DIRECTLY OR INDIRECTLY: (A) BODILY INJURY OR DEATH OF ANY PERSON, OR PROPERTY DAMAGE, INCLUDING LOSS OF USE OF PROPERTY, ARISING OR ALLEGED TO ARISE OUT OF OR IN ANY WAY RELATED TO THE LEASE, THIS AMENDMENT OR TENANT'S PERFORMANCE OF THE WORK OR OTHER ACTIVITIES OF TENANT, BUT ONLY TO THE EXTENT CAUSED IN WHOLE OR IN PART BY ANY NEGLIGENT ACT OR OMISSION OF TENANT OR ANYONE DIRECTLY OR INDIRECTLY EMPLOYED BY TENANT OR ANYONE FOR WHOSE ACTS TENANT MAY BE LIABLE; OR (B) A BREACH OF THE LEASE OR THIS AMENDMENT BY TENANT.

(b) TO THE FULLEST EXTENT PERMITTED BY LAW, TENANT SHALL INDEMNIFY, DEFEND AND HOLD HARMLESS THE INDEMNITEES FROM AND AGAINST ALL CLAIMS, DAMAGES, LOSSES AND EXPENSES, INCLUDING, BUT NOT LIMITED TO, LEGAL FEES ARISING OUT OF OR RESULTING FROM, WHETHER DIRECTLY OR INDIRECTLY, BODILY INJURY TO, OR SICKNESS, DISEASE OR DEATH OF, ANY EMPLOYEE, AGENT OR REPRESENTATIVE OF TENANT OR ANY OF ITS SUBCONTRACTORS, TO THE EXTENT THAT SUCH MATTERS ARE COVERED BY WORKER'S COMPENSATION OR WOULD HAVE BEEN COVERED BY WORKER'S COMPENSATION BUT FOR THE FAILURE OF CONTRACTOR OR ONE OF ITS SUBCONTRACTOR'S TO COMPLY WITH APPLICABLE WORKER'S COMPENSATION LAWS OR THE PROVISIONS OF THIS AMENDMENT. THE INDEMNIFICATION OBLIGATIONS UNDER THIS PARAGRAPH SHALL APPLY **WHETHER OR NOT THE MATTERS AT ISSUE ARISE OUT OF THE NEGLIGENCE OR STRICT LIABILITY (BUT NOT THE GROSS NEGLIGENCE OR WILLFUL MISCONDUCT) OF ONE OR MORE OF THE INDEMNITEES** AND SHALL NOT BE LIMITED BY ANY LIMITATION ON THE AMOUNT OR TYPE OF DAMAGES, COMPENSATION OR BENEFITS PAYABLE BY OR FOR TENANT UNDER WORKERS COMPENSATION ACTS, DISABILITY BENEFIT ACTS OR OTHER EMPLOYEE BENEFIT ACTS. TENANT SHALL PROCURE LIABILITY INSURANCE COVERING ITS OBLIGATIONS UNDER THIS PARAGRAPH.

7. **Change Orders.** Tenant may initiate changes in the Work. Each such change must receive the prior written approval of Landlord, such approval not to be unreasonably withheld or delayed; however, (a) if such requested change would adversely affect (in the reasonable discretion of Landlord) (1) the Building's Structure or the Building's Systems

(including the Building's restrooms or mechanical rooms), (2) the exterior appearance of the Building, or (3) the appearance of the Building's common areas or elevator lobby areas, or (b) if any such requested change might delay the Effective Date, Landlord may withhold its consent in its sole and absolute discretion. Tenant shall, upon completion of the Work, furnish Landlord with an accurate architectural "as-built" plan of the Work as constructed, which plan shall be incorporated into this **Attachment B** by this reference for all purposes. If Tenant requests any changes to the Work described in the Space Plans or the Working Drawings, then such increased costs and any additional design costs incurred in connection therewith as the result of any such change shall be added to the Total Construction Costs.

8. **Definitions.** As used herein "**Substantial Completion**," "**Substantially Completed**," and any derivations thereof mean the Work in the Premises is substantially completed (as reasonably determined by Landlord) in accordance with the Working Drawings. Substantial Completion shall have occurred even though minor details of construction, decoration, landscaping and mechanical adjustments remain to be completed.

9. **Walk-Through; Punchlist.** When Tenant considers the Work in the Premises to be Substantially Completed, Tenant will notify Landlord and within three business days thereafter, Landlord's representative and Tenant's representative shall conduct a walk-through of the Premises and identify any necessary touch-up work, repairs and minor completion items that are necessary for final completion of the Work. Neither Landlord's representative nor Tenant's representative shall unreasonably withhold his or her agreement on punchlist items. Tenant shall (as general contractor) use reasonable efforts to complete all punchlist items within 30 days after agreement thereon.

10. **Costs.** The entire cost of performing the Work, including costs of (i) construction labor and materials (such costs being specifically defined as "**Hard Construction Costs**"), (ii) design of and space planning for the Work and preparation of the Working Drawings and the final "as-built" plan of the Work, (iii) electrical usage during construction, (iv) additional janitorial services, (v) general tenant signage, (vi) related taxes and insurance costs, (vii) licenses, permits, certifications, surveys and other approvals required by law, and (viii) the construction supervision fee referenced in Section 11 of this **Attachment B**, all of which costs are herein collectively called the "**Total Construction Costs**") in excess of the Construction Allowance (hereinafter defined) shall be paid by Tenant. Upon approval of the Working Drawings, Tenant shall promptly execute a work order agreement which identifies such drawings and itemizes the Total Construction Costs and sets forth the Construction Allowance.

11. **Construction Allowance.** Landlord shall provide to Tenant a construction allowance up to and not to exceed \$1.50 per rentable square foot in the Premises (\$30,268.50) (the "**Construction Allowance**") to be applied toward the Hard Construction Costs portion of the Total Construction Costs. No advance of the Construction Allowance shall be made by Landlord until Tenant has first initiated the Work using its own funds (and provided reasonable evidence thereof to Landlord) and provided an estimate to Landlord of (i) the Hard Construction Costs and (ii) the anticipated amount by which the projected Total Construction Costs exceed the amount of the Construction Allowance. Thereafter, Landlord shall pay to Tenant the Construction Allowance in multiple disbursements (but not more than once in any calendar month) following the receipt by Landlord of the following items: (a) a request for payment, (b) final or partial lien waivers, as the case may be, from all persons performing work or supplying or fabricating materials for the Work, fully executed, acknowledged and in recordable form, and (c) Tenant's certification that the Work for which reimbursement has been requested

has been finally completed, including (with respect to the last application for payment only) any punch-list items, on the appropriate AIA form or another form approved by Landlord, and, with respect to the disbursement of the last 20% of the Construction Allowance, (1) the permanent certificate of occupancy issued for the Premises, (2) Tenant's occupancy of the Premises, (3) delivery of the architectural "as-built" plan for the Work as constructed (as set forth above) to Landlord's construction representative (set forth below), and (4) an estoppel certificate confirming such factual matters as Landlord or Landlord's Mortgagee may reasonably request (collectively, a "**Completed Application for Payment**"). Landlord shall pay the amount requested in the applicable Completed Application for Payment to Tenant within 30 days following Tenant's submission of the Completed Application for Payment. If, however, the Completed Application for Payment is incomplete or incorrect, Landlord's payment of such request shall be deferred until 30 days following Landlord's receipt of the Completed Application for Payment. Notwithstanding anything to the contrary contained in this **Attachment B**, Landlord shall not be obligated to make any disbursement of the Construction Allowance during the pendency of any of the following: (A) Landlord has received written notice of any unpaid claims relating to any portion of the Work or materials in connection therewith, other than claims which will be paid in full from such disbursement, (B) there is an unbonded lien outstanding against the Building or the Premises or Tenant's interest therein by reason of work done, or claimed to have been done, or materials supplied or specifically fabricated, claimed to have been supplied or specifically fabricated, to or for Tenant or the Premises, (C) the conditions to the advance of the Construction Allowance are not satisfied, or (D) an Event of Default by Tenant exists. The Construction Allowance must be used (that is, the Work must be fully complete and the Construction Allowance disbursed) within six months following the Effective Date or shall be deemed forfeited with no further obligation by Landlord with respect thereto, time being of the essence with respect thereto.

12. **Construction Management.** Landlord or its Affiliate or agent shall supervise the Work and coordinate the relationship between the Work, the Building and the Building's Systems. In consideration for Landlord's construction supervision services, Tenant shall pay to Landlord a construction supervision fee equal to five percent of the Total Construction Costs.

13. **Construction Representatives.** Landlord's and Tenant's representatives for coordination of construction and approval of change orders will be as follows, provided that either party may change its representative upon written notice to the other:

Landlord's Representative:

c/o _____

Telephone: _____ - _____ - _____

Telecopy: _____ - _____ - _____

Tenant's Representative:

c/o Tom Brimmer

Telephone: 512-801-7963

Telecopy: 210-656-8095

ATTACHMENT "C"

MOVE OUT STANDARDS

<u>ITEM</u>	<u>EXPECTED CONDITION</u>
Ceiling:	1. Replace all damaged, missing and stained tiles and ceiling grid
Dock Doors/ Truck Wells:	1. Repair and replace dented/damaged panels 2. Ensure doors operate properly 3. Leave keys to doors near the locks on inside of the premises 4. Clean truck wells 5. Ensure sump pumps operating properly 6. Replace any missing dock bumpers and repair damage to grade beam 7. Truck levelers are to be put in working order
Doors:	1. Ensure all front and rear doors close and lock properly, leave keys in locks.
Electrical:	1. Ensure all outlets, telephone jacks and switches are in good working order and have face plates
Exterior:	1. Ensure all downspouts and drains are in good condition, replace damaged downspouts and drains 2. Ensure all rail spurs are in tact, if not repair
Floors:	1. Clean tile areas 2. Vacuum all carpet 3. Repair cut and torn carpets 4. Ensure cove base is attached and intact 5. Remove any protrusions from floor area—cut off at floor level 6. Remove any tars, paints, greases or other residue from warehouse floor, sweep, power wash or mop and seal if necessary.
HVAC:	1. Ensure that HVAC is in good operating condition (filters, ducts, thermostats, coils, pan, Freon levels, belt). 2. Clean all HVAC vent returns
Lighting:	1. Ensure all lamps, bulbs and ballasts are in good operating condition 2. Ensure all light lenses covers are intact and if broken replace
Plumbing:	1. Ensure all plumbing fixtures are in good working order 2. Ensure fire sprinklers are in good working order (if applicable) 3. Turn off all gas and equipment and ensure all is in good working order 4. Ensure that any leaks are repaired
Signs:	1. Remove storefront signage

2. Cap off wires if applicable
3. Landlord will patch fascia and bill tenant

Trash:

1. Dispose of trash/debris within space as well as the exterior rear
2. Remove dumpsters
3. Remove all warehouse racking systems, fences, etc.

Walls:

1. Repair any damage to interior, exterior and demising walls, and paint colored walls white.
2. Repair or replace any damaged structural steel columns (must consult with Property Manager).

Windows:

1. Remove all paint/vinyl/markings/tape except address and suite number
2. Clean windows, mullions and blinds
3. Replace damaged glass
4. Ensure all window blinds are operating properly (remove if necessary)

**Hazardous
Materials:**

1. Remove all Hazardous Materials placed in or about the Premises or the Project by Tenant, its employees, agents, contractors or invitees as well as all installations (interior and exterior) made by or on behalf of Tenant relating to the storage, use, treatment, disposal or transportation of Hazardous Materials, and cause such Hazardous Materials and installations to be transported for use, storage or disposal in accordance and compliance with all Environmental Requirements.

ATTACHMENT D

TENANT'S RENEWAL OPTION

Provided no Event of Default exists and Tenant is occupying the entire Premises at the time of such election, Tenant may renew this Lease for one additional period of five (5) years, by delivering written notice of the exercise thereof to Landlord not earlier than nine (9) months nor later than six (6) months before the expiration of the Lease Term. The Base Rent payable for each month during such extended Lease Term shall be the greater of (a) the prevailing rental rate (the "**Prevailing Rental Rate**"), at the commencement of such extended Lease Term, for renewals of space in the Building of equivalent quality, size, utility and location, with the length of the extended Lease Term, the "AS IS" nature of the renewal, and the credit standing of Tenant to be taken into account, and (b) the then current Base Rent rate. Within 30 days after receipt of Tenant's notice to renew, Landlord shall deliver to Tenant written notice of the Prevailing Rental Rate and shall advise Tenant of the required adjustment to Base Rent, if any, and the other terms and conditions offered. Tenant shall, within ten days after receipt of Landlord's notice, notify Landlord in writing whether Tenant accepts or rejects Landlord's determination of the Prevailing Rental Rate. If Tenant timely notifies Landlord that Tenant accepts Landlord's determination of the Prevailing Rental Rate, then, on or before the commencement date of the extended Term, Landlord and Tenant shall execute an amendment to this Lease extending the Lease Term on the same terms provided in this Lease, except as follows:

- (a) Base Rent shall be adjusted to the Prevailing Rental Rate (in the event the Prevailing Rental Rate is greater than the then current Base Rent rate);
- (b) Tenant shall have no further renewal option unless expressly granted by Landlord in writing; and
- (c) Landlord shall lease to Tenant the Premises in their then-current condition, and Landlord shall not provide to Tenant any allowances (e.g., moving allowance, construction allowance, and the like) or other tenant inducements.

If Tenant rejects Landlord's determination of the Prevailing Rental Rate and timely notifies Landlord thereof, Tenant may, in its notice to Landlord, require that the determination of the Prevailing Rental Rate be made by brokers (and if Tenant makes such election, Tenant shall be deemed to have irrevocably renewed the Lease Term, subject only to the determination of the Prevailing Rental Rate as provided below). In such event, within ten days thereafter, each party shall select a qualified commercial real estate broker with at least ten years' experience in leasing property and buildings in the city or submarket in which the Premises are located. The two brokers shall give their opinion of prevailing rental rates within 20 days after their retention. In no event, however, shall the Base Rent in the renewal term be less than the then current Base Rent rate per rentable square foot in effect hereunder. In the event the opinions of the two brokers differ and, after good faith efforts over the succeeding 20-day period, they cannot mutually agree, the brokers shall immediately and jointly appoint a third broker with the qualifications specified above. This third broker shall immediately (within five days) choose either the determination of Landlord's broker or Tenant's broker and such choice of this third broker shall be final and binding on Landlord and Tenant. Each party shall pay its own costs for its real estate broker. Following the determination of the Prevailing Rental Rate by the brokers, the parties shall equally share the costs of any third broker. The parties shall immediately

execute an amendment as set forth above. If Tenant fails to timely notify Landlord in writing that Tenant accepts or rejects Landlord's determination of the Prevailing Rental Rate, time being of the essence with respect thereto, Tenant's rights under this Exhibit shall terminate and Tenant shall have no right to renew this Lease.

Tenant's rights under this Exhibit shall terminate if (1) this Lease or Tenant's right to possession of the Premises is terminated, (2) Tenant assigns any of its interest in this Lease or sublets any portion of the Premises, or (3) Tenant fails to timely exercise its option under this Exhibit, time being of the essence with respect to Tenant's exercise thereof.